

Following the money: balance sheets and notes

Remuneration, tax, turnover, profit

I'll be covering...

- Stories to look for in remuneration, tax and debt
- Balance sheet jargon: assets and liabilities
- Questions to ask about different aspects of a balance sheet



marchettus Marchettus · 5-4

What questions do you have? I was a little surprised how much \$\$\$ left our hobby. #ageofsigmar #warhammer40k #warhammer

🎵 original sound - Marchettus



443



93



31

https://www.tiktok.com/@marchettus/video/7093935840795135278?_t=8SHE6jZBs1u&_r=1

Profit and loss account
for the year ended 31 December 2012

		Year ended 31 December 2012	Year ended 31 December 2011
	Note	SAR 000	SAR 000
Turnover	2	682,151	424 698
Cost of sales		(622,407)	(392,691)
Gross profit		59,744	32,007
Administrative expenses		(40,344)	(28,087)
Operating profit		19,400	3 920
Other interest receivable and similar income	6	73	66
Profit on ordinary activities before taxation	2 3	19,473	3,986
Tax on profit on ordinary activities	7	(7,056)	(1,607)
Profit for the financial year		12,417	2 379



27.11.16 STATE SCRUTINY > THE HOUSING CRISIS

BUILDERS MAKE BILLIONS AS HOUSING CRISIS ESCALATES

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and spark change, please
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Britain's biggest housebuilding firms and their executives have pocketed billions of pounds as the country's housing crisis escalates and affordable homes targets are missed.

The four most powerful companies – Persimmon, Taylor Wimpey, Barratt and Berkeley Group – are making so much money they are planning to give £6.6bn extra in dividends to shareholders by 2021, the Bureau has found. Meanwhile the number of affordable homes built fell to a 24-year low this year. Housebuilders routinely argue that affordable housing targets are financially unviable.

<https://www.thebureauinvestigates.com/stories/2016-11-27/builders-make-billions-as-housing-crisis-escalates>

Profit margin: GROSS PROFIT/revenue

Fee income and profitability measures and trends for the largest children's social care providers – December 2020.

		Annualised Children's Services Income	% of Total Sample Income	Cumulative %	Annualised EBITDA	EBITDA %		Income vs. previous study	EBITDA vs. previous study	EBITDA% vs. previous study
		£			£					
	Outcomes First	346,644,074			71,266,698	20.6%		+	+	-
	Bryn Melyn	16,436,072			498,831	3.0%		+	-	-
1	Outcomes First subtotal	363,080,146	23.6%	23.6%	71,765,529	19.8%				
				42.7%	58,295,071	19.8%		+	+	+
				54.3%	29,184,693	16.5%		-	-	+
				63.6%	38,056,000	26.6%		-	-	-
				68.7%	7,408,000	9.3%		=	=	=
				73.6%	14,186,184	18.9%				
				77.6%	9,705,922	15.9%		=	=	=
8	BSN Social Care									

Private equity involvement in care placements needs reviewing amid concerns profit and debt levels

The LGA's report shows that some independent providers of children's residential and fostering placements are achieving profits of more than 20 per cent on their income.

Income levels of the large providers have increased by 7.3% since the previous study.

Profit levels have increased at a higher rate of 12%.

Profit margins have increased from 18.5% to 19.4% for this subset.

<https://www.local.gov.uk/about/news/private-equity-involvement-care-placements-needs-reviewing-amid-concerning-profit-and>

<https://www.revolution-consulting.org/wp-content/uploads/2021/01/Profit-Making-and-Risk-in-Independent-Childrens-Social-Care-Placement-Providers-Publis>
hed-end-January-2021.pdf

<https://www.theguardian.com/society/2021/jan/29/councils-flag-concerns-about-excessive-profits-at-childrenshomes>

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Profit for the financial year		12,417	2,379

Cost of buying/making stuff

Is % gross profit unusual for industry?

Cost of other stuff

Large interest payments = big loans

Notes to the
accounts...

Different sources of income

From operating activities = what they normally do

From investing activities = money spent on expansion, or generated from selling off assets etc

From financing activities = shares, loans, dividends

ASK: Why are you expanding so much? Why such big dividends?

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**Notes to the
accounts...**

Naomi Campbell's charity faces questions after it spent £1.6million on a glitzy Cannes gala... but donated only £5,000 to good causes

- Fashion For Relief hosted a glitzy event in May 2018 to raise money for Time's Up
- The organisation was established after the MeToo movement to support women
- The charity spent more than £1.6million on a spectacular fundraising gala
- It gave only £5,000 to good causes over the same period as the Cannes event

By [ADAM LUCK](#) and [CAROL](#)
PUBLISHED: 22:02, 29 May

In addition to the catwalk show, the event in Cannes – which coincided with the French resort's film festival – featured a cocktail reception, gala dinner and art auction. A guest who bought one of the lots said he paid D&G Group, a corporate events firm. Time's Up said it had no record of receiving funds from D&G.

Fashion For Relief's latest accounts for 2018-19 say charities that benefited from its work 'included Save The Children and the Mayor's Fund For London' – but do not stipulate what sums were given. It said the details will appear in subsequent filings.

The Mail on Sunday asked Dr Gareth Morgan, emeritus professor of charity studies at Sheffield Hallam University, to review the latest documents filed by Fashion For Relief. After doing so, he said: 'I would encourage the Charity Commission to look into this charity and possibly to use its powers of inquiry in order to consider whether there may have been any failures of governance. Even where there has been charitable expenditure, the accounts tell us nothing about where it has gone.'

For London, which provides received £100,000 last year British Museum in 2019. Save The Children in 2018.

Statement of Financial Activities
For The Period 6 April 2018 to 31 July 2019

	Notes	Period 6/4/18 to 31/7/19 Unrestricted fund £	Year ended 5/4/18 Total funds as restated £
INCOME AND ENDOWMENTS FROM			
Donations and legacies	3	11,959	1
Other trading activities	4	1,710,419	610,704
Investment income	5	131	-
Total		1,722,509	610,705
 EXPENDITURE ON			
Raising funds	6	1,606,926	88,898
Charitable activities	7		
Charitable activities		5,515	313,083
Other			
Total			

6. RAISING FUNDS

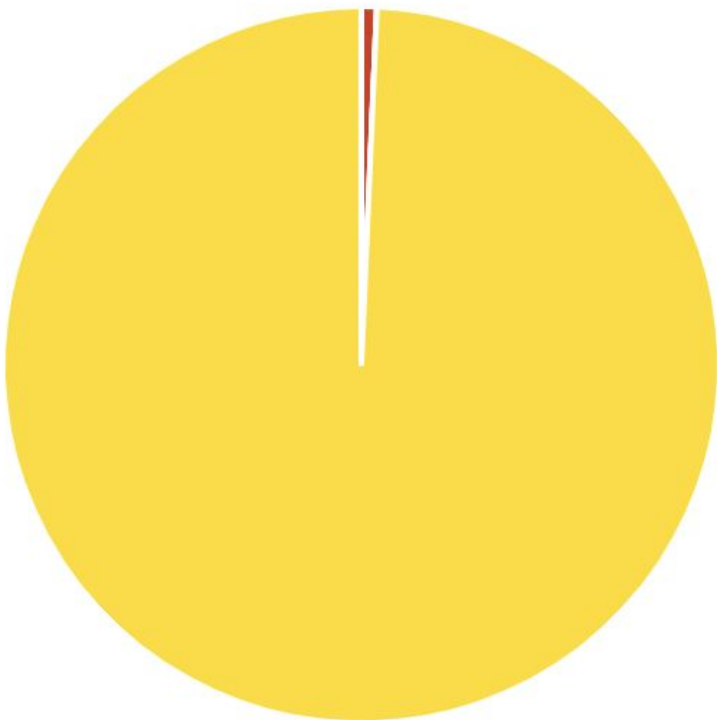
Raising donations and legacies

	Period 6/4/18 to 31/7/19 £	Year ended 5/4/18 as restated £
Event charges	1,484,242	88,898
Fashion team	43,000	-
Public relations	57,566	-
Operations & logistics	4,118	-
Operations director	18,000	-
	1,606,926	88,898

Income and expenditure

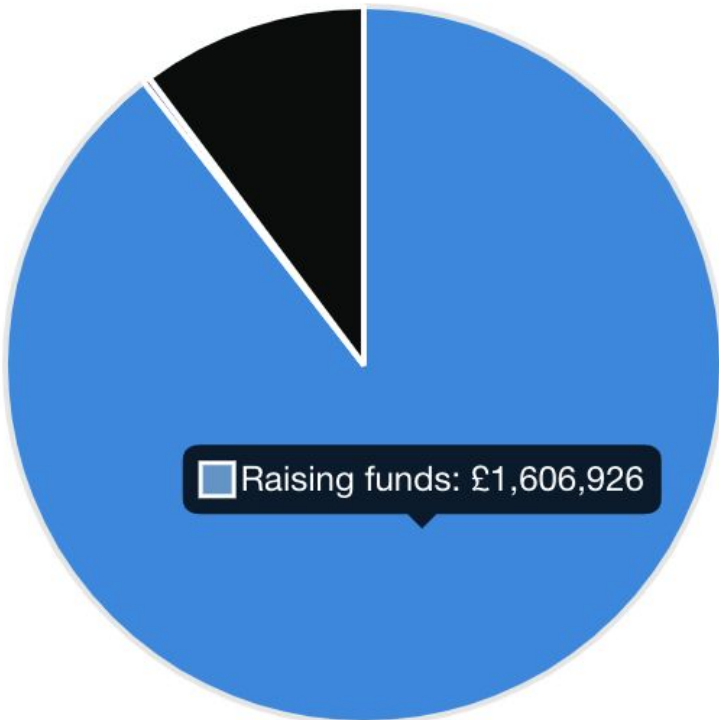
Data for financial year ending 31 July 2019

Total income:
£1,722,509



Donations and legacies	£11.96k
Charitable activities	£0
Other trading activities	£1.71m

Total expenditure:
£1,795,934



Raising funds	£1.61m
Charitable activities	£5.52k
Other	£183.49k

→ [Coronavirus \(COVID-19\)](#) | Guidance and support

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Latest documents

[Charity Commission announces statutory inquiry into Fashion for Relief](#)

25 November 2021 Press release Charity Commission

[Charity Commission opens inquiry into the Mahfouz Foundation](#)

18 November 2021 Press release Charity Commission

[Safeguarding and protecting people for charities and trustees](#)

17 November 2021 Guidance Charity Commission

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ABRIDGED BALANCE SHEET
30TH APRIL
2019

	Notes	2019 £	£	2018 £	£
FIXED ASSETS					
Tangible assets	4		3,516		6,200
CURRENT ASSETS					
Debtors		49,808		60,960	
Cash at bank and in hand		<u>1,372</u>		<u>930</u>	
		51,180		61,890	
CREDITORS					
Amounts falling due within one year		<u>98,844</u>		<u>102,874</u>	
NET CURRENT LIABILITIES			<u>(47,664)</u>		<u>(40,984)</u>
TOTAL ASSETS LESS CURRENT LIABILITIES			<u>(44,148)</u>		<u>(34,784)</u>
CAPITAL AND RESERVES					
Called up share capital	5		3		3
Retained earnings			<u>(44,151)</u>		<u>(34,787)</u>
SHAREHOLDERS' FUNDS			<u>(44,148)</u>		<u>(34,784)</u>

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)
FOR THE YEAR ENDED 31 MARCH 2019

15 Tangible fixed assets

	Freehold property £	Long leasehold property £	Group Fixtures fittings & equipment £	Motor vehicles £	Total £
Cost At 1 April 2018	1,448,251	1,639,745	808,025	6,150	3,902,171
Additions at cost	-	-	102,581	-	102,581
	(968,497)	-	-	(6,150)	(974,647)
	<u>(81,503)</u>	<u>24,534</u>	<u>-</u>	<u>-</u>	<u>(56,969)</u>
	<u>398,251</u>	<u>1,664,279</u>	<u>910,606</u>	<u>-</u>	<u>2,973,136</u>

Notes

£

£

15

2,142,470

18

5,500
771,148
1,265

18 Debtors

2,041

19

146

19 Creditors: amounts falling due within one year

	Group		Charity	
	2019 £	2018 £	2019 £	2018 £
Trade debtors	674,737	429,566	29,572	22,147
Amounts due from subsidiary undertakings	-	-	2,609	26,811
Other debtors	53,974	151,941	40,499	116,086
Prepayments and accrued income	<u>42,437</u>	<u>172,205</u>	<u>32,465</u>	<u>160,147</u>
	<u>771,148</u>	<u>753,712</u>	<u>105,145</u>	<u>325,191</u>

	Group		Charity	
	2019 £	2018 £	2019 £	2018 £
Bank loans and overdrafts	66,754	104,980	51,342	90,224
Trade creditors	125,554	177,087	72,593	148,947
Amounts owed to group undertakings	-	-	8,014	-
Taxation and social security	56,996	38,226	14,432	13,051
Other creditors	108,939	103,592	38,986	41,527
Accruals	<u>33,069</u>	<u>24,683</u>	<u>15,816</u>	<u>8,402</u>

Fixed assets
Tangible assets

Current assets

Stocks
Debtors
Cash at bank and in hand

Creditors: amounts falling due within one year

Notes to the accounts

Devil in the detail

Remuneration

How much do the directors get paid!

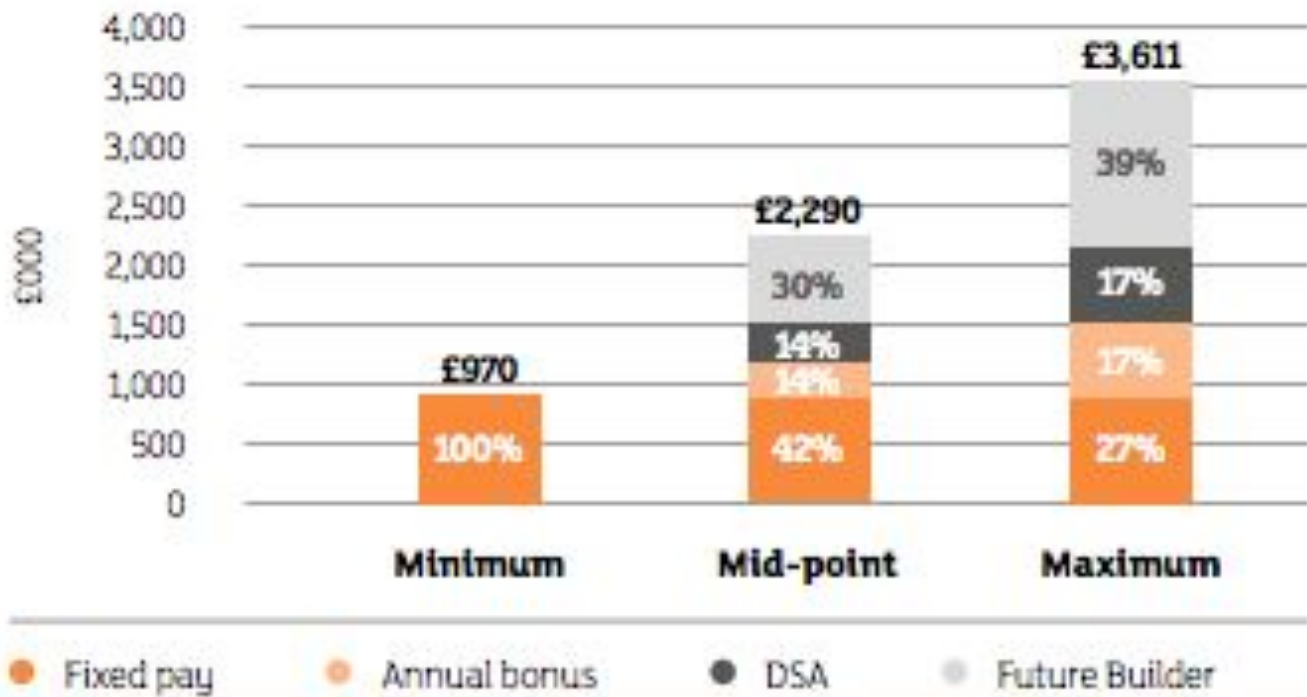
Small companies need not disclose

Medium or large companies disclose some info

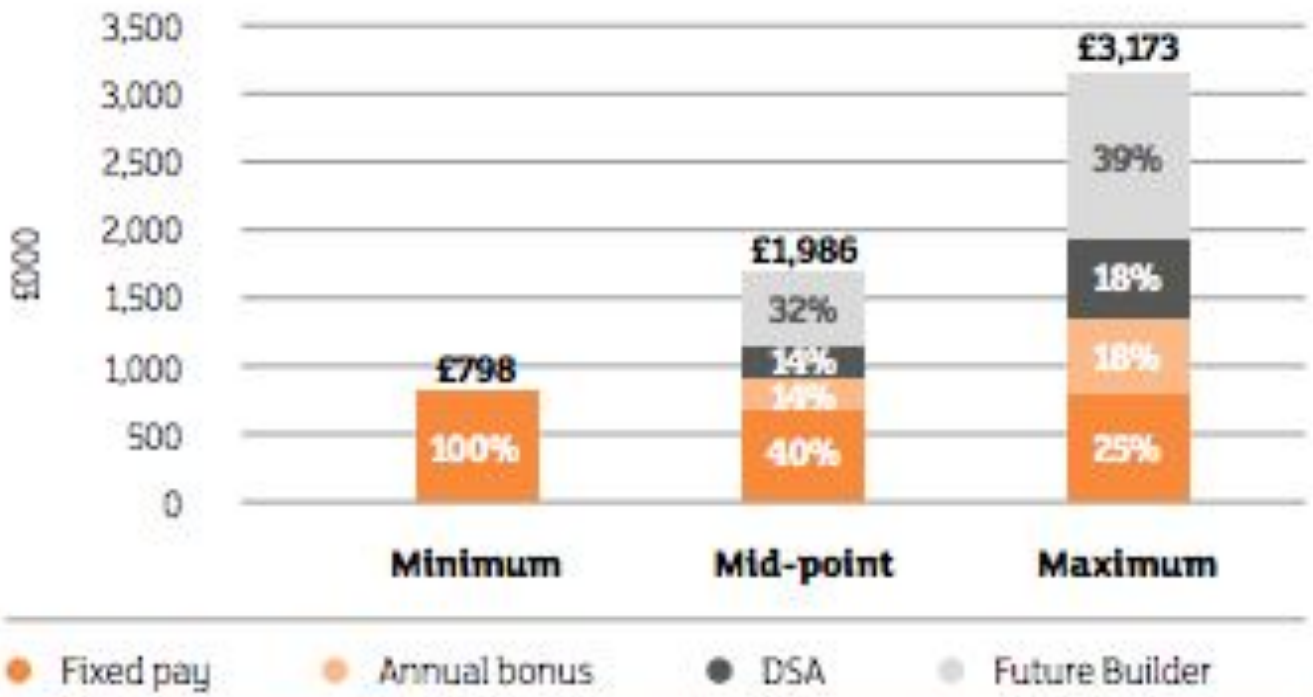
Listed companies disclose lots

Look for: top paid director compared to average employee wage - or average UK wage

John Rogers



Kevin O'Byrne



Opportunity		Minimum	Mid-point	Maximum
Fixed pay	Salary – Mike Coupe £943,428; John Rogers £695,402; Kevin O'Byrne £625,000 Benefits – value in line with 2016/17 Pension – CEO 30% of salary; other Executive Directors 25% of salary			
Annual bonus	CEO – 110% of salary Other Executive Directors – 90% of salary	Nil	50% of maximum	100% of maximum
Deferred Share Award	CEO – 110% of salary Other Executive Directors – 90% of salary	Nil	50% of maximum	100% of maximum
Future Builder	CEO – core award of 62.5% of salary Other Executive Directors – core award 50% of salary	Nil	Multiplier of 2.0x	Multiplier of 4.0x

28 Employee costs

	2017 £m	2016 £m
Employee costs for the Group during the year amounted to:		
Wages and salaries, including bonus and termination benefits	2,579	2,272
Social security costs	165	148
Pension costs – defined contribution schemes	102	98
Share-based payments expense (note 30)	32	23
	2,878	2,541

	2017 Number 000s	2016 Number 000s
The average number of employees including Directors, during the year was:		
Full-time	51.9	48.0
Part-time	130.0	114.7
	181.9	162.7
Full-time equivalent	118.7	108.3

CTRL+F to find employees

Need to subtract directors + pay first

Centrica chief's pay rises by 44% as energy bills increase

Iain Conn, boss of British Gas owner, received pay package worth £2.4m last year



▲ Centrica CEO Iain Conn is paid 72 times as much as an employee in the lower 25% of the company's pay range.
Photograph: Dominic Lipinski/PA

The chief executive of **Centrica**, the owner of British Gas, received a 44% pay rise for 2018, despite a difficult year in which the company imposed two bill increases, warned on profits and announced thousands of job cuts.

Remuneration Summary for 2018

Total remuneration received in 2018 (£000)⁽¹⁾

Iain Conn
£2,416
2017: £1,678



Jeff Bell
£1,241
2017: £994



Governance

Remuneration Report



Scott Wheway
Non-Executive Director

On behalf of the Board, I am pleased to present the Remuneration Committee's report for 2018.

In May 2018, following an extensive consultation exercise, we asked shareholders to approve our revised Remuneration Policy (Policy) which we sought to ensure was more closely aligned to our strategy and the delivery of long-term shareholder value through returns and growth (see box below). We were pleased to receive the support of over 95% of our shareholders for our revised Policy.

This report describes how we have implemented this Policy in its first year of operation.

Principal changes to Remuneration Policy approved by shareholders in 2018

- Introduced Total Shareholder Return (TSR) into the Long term Incentive Plan (LTIP).
- LTIP therefore has four measures: 33% weighting to relative TSR and 22% weighting to each of economic profit, cash flow growth and non-financial KPIs.
- Increased the weighting of financial performance within the Annual Incentive Plan (AIP) and moved

Responding to the Corporate Governance Code

The Committee carefully considered the requirements relating to remuneration committees in the revised Code, which applies from 1 January 2019, and the Committee's Terms of Reference were reviewed and updated. During the year we discussed how we would ensure the Committee better understands remuneration arrangements and related policies applying across the wider workforce and that these are taken into consideration when setting and agreeing executive remuneration. To enable employee views to be taken into account in Committee discussions and decision-making, we have invited Joan Gilman to participate in discussions in her capacity as employee champion for the Board. In addition, and in response to investor guidance, we disclose our CEO pay ratio below, a year ahead of the statutory requirement.

CEO pay ratio

The Company has used its gender pay gap data (Option B in the Directors' Reporting Regulations) to determine the employees whose remuneration packages sit at the lower, median and upper quartile positions across the UK workforce. We have calculated the annual remuneration relating to 2018 for the three identified employees on the same basis as the CEO's total remuneration for 2018 in the single figure table, to produce the ratios below:

Quartile position	Employee job profile	Total remuneration	CEO pay ratio
Lower	Smart Energy Expert	£33,718	72:1
Median	Servicing Engineer	£41,239	58:1
Upper	Technical Engineer	£55,107	44:1

In future years the ratio will be disclosed in a table in the remuneration report, building incrementally to show the ratios over a 10-year period.

Boss of Bet365 paid almost £300m during first year of Covid

Results show betting firm led by Denise Coates made £470m profit in year to end of March 2021

Bet365 boss Denise Coates gets £300m pay package - a £170m cut

By Russell Hotten
BBC News

Bet365 boss Denise Coates takes home almost £300m pay packet

It represented a roughly £170 million cut in pay and dividends for one of Britain's richest women.

Bet365 boss Denies Coates takes a £170million pay cut - but STILL earned nearly £300m last year

- Betting chief's salary dropped as the pandemic stalled growth at gambling giant
- But she still took a £250m salary and a large chunk of the firm's £97.5m dividend
- Figure takes her pay and dividends to around £1.3 billion for the past five years

By TOM PYMAN FOR MAILONLINE

Premier League money: Highest-paid directors' salary at every club revealed

PREMIER LEAGUE teams are loaded with directors guiding the club forward – but which top dogs earn the most?

By **MICHAEL POTTS**

PUBLISHED: 16:28, Wed, Apr 4, 2018 | UPDATED: 16:53, Wed, Apr 4, 2018

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Highest-paid directors in the Premier League revealed

Wed, April 4, 2018

How much does every Premier League team's top-paid director



 **Mirror**

Greedy housebuilders make billions while getting taxpayer subsidies - yet fail thousands of homeless families

The biggest builders – Persimmon, Taylor Wimpey, Barratt and Berkeley Group – have missed affordable housing targets, while watching profits soar

<https://www.express.co.uk/sport/football/941383/Premier-League-money-directors-salary-every-club-sportgalleries>

<https://www.mirror.co.uk/news/uk-news/greedy-housebuilders-make-billions-getting-9342409>

Naomi Campbell's fashion charity investigated over finances

Regulator examines potential mismanagement at Fashion for Relief and payments to trustee



The 2019 accounts also reveal unusually large trustee expenses. Hellmich was paid £77,000 in consultancy fees and £15,942 in travel expenses. The previous year, the charity spent £107,000 on trustees' fees and £23,000 on expenses.

📷 Naomi Campbell arrives for the 2019 Fashion for Relief charity gala event at London fashion week. The 2019 accounts reveal unusually large trustee expenses. Photograph: Niklas Halle'n/AFP/Getty Images

Dividends

Money paid to qualifying shareholders (including bosses)

Normally related to profits - but can be paid despite low profits (often newsworthy)

Can be used as an alternative to salary (lower tax rate)

Affects stock price (up and down)

Question: is it justified? Is it illegal?

Can be newsworthy when paid where a problem exists that needs investment instead

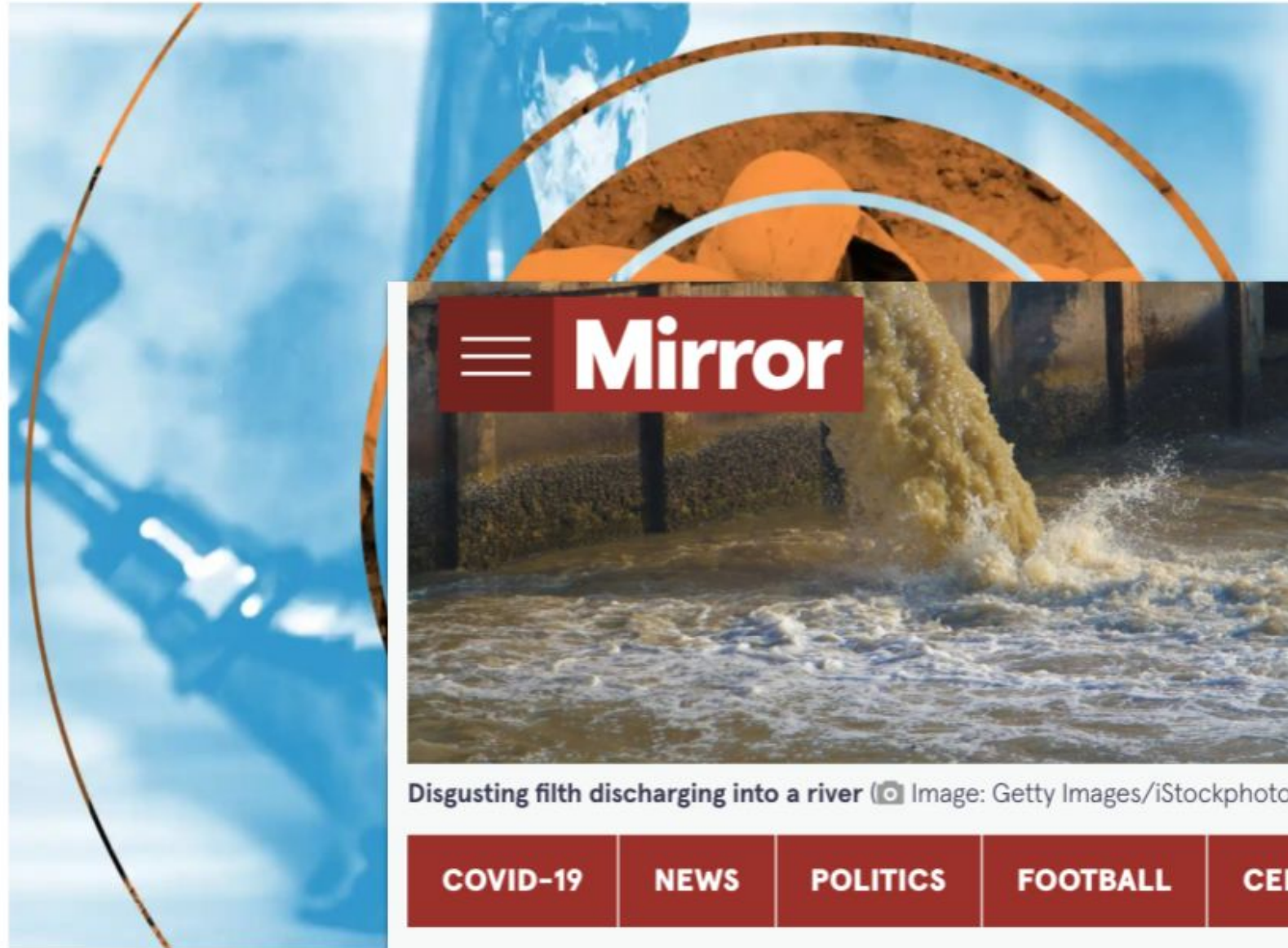
Can also be newsworthy if payment of dividends creates debt

If dividends are being paid when company is making a loss, or if they are a high proportion of profit that is not a good sign.

England's privatised water firms paid £57bn in dividends since 1991

Sandra Laville
Environment correspondent

Wed 1 Jul 2020 15:27 BST



Disgusting filth discharging into a river (Image: Getty Images/iStockphoto)

COVID-19

NEWS

POLITICS

FOOTBALL

CELEBS

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MONEY

EXCLUSIVE: Raw sewage fury as water companies pay shareholders billions instead of fixing crisis

Water disgrace as billions of pounds go to shareholders and bosses while raw sewage was discharged into coastal waters and rivers in England more than 400,000 times last year

By **Stephen Hayward**

22:22, 30 Oct 2021 | **UPDATED 23:22, 30 Oct 2021**



COMMENTS

<https://www.theguardian.com/environment/2020/jul/01/england-privatised-water-firms-dividends-shareholders>
<https://www.mirror.co.uk/money/city-news/raw-sewage-fury-water-companies-25338897>

Train operators pay £200m to shareholders after £4bn subsidy

Figures released by Office for Rail Regulation put plans to reprivatise east coast rail line under fresh scrutiny

Gwyn Topham, *transport correspondent*

🐦 @GwynTopham

Wed 16 Apr 2014 00.02 BST



99



UK shareholder payouts show firms beginning to recover from Covid crisis

First quarter dividends raised, restarted or held at half of UK listed firms, says Link Group

- [Coronavirus - latest updates](#)
- [See all our coronavirus coverage](#)

Joanna Partridge *Business reporter*

Mon 26 Apr 2021 07.15 BST



Tax



9. Taxation**Note to the accounts**

	2016 £	2015 £
Corporation tax		
Current tax on profit/(loss) for the year	5,101,427	4,168,609
Total current tax	<u>5,101,427</u>	<u>4,168,609</u>
Deferred tax		
Current year	(2,655,751)	(16,507,004)
Effects of changes in tax rates	131,406	1,016,332
Total deferred tax	<u>(2,524,345)</u>	<u>(15,490,672)</u>
Taxation on profit/(loss) on ordinary activities	<u>2,577,082</u>	<u>(11,322,063)</u>

Factors affecting tax charge/(credit) for the year

The tax assessed for the year is different to the standard rate of corporation tax in the UK of 20% (2015: 20.25%). The differences are explained below:

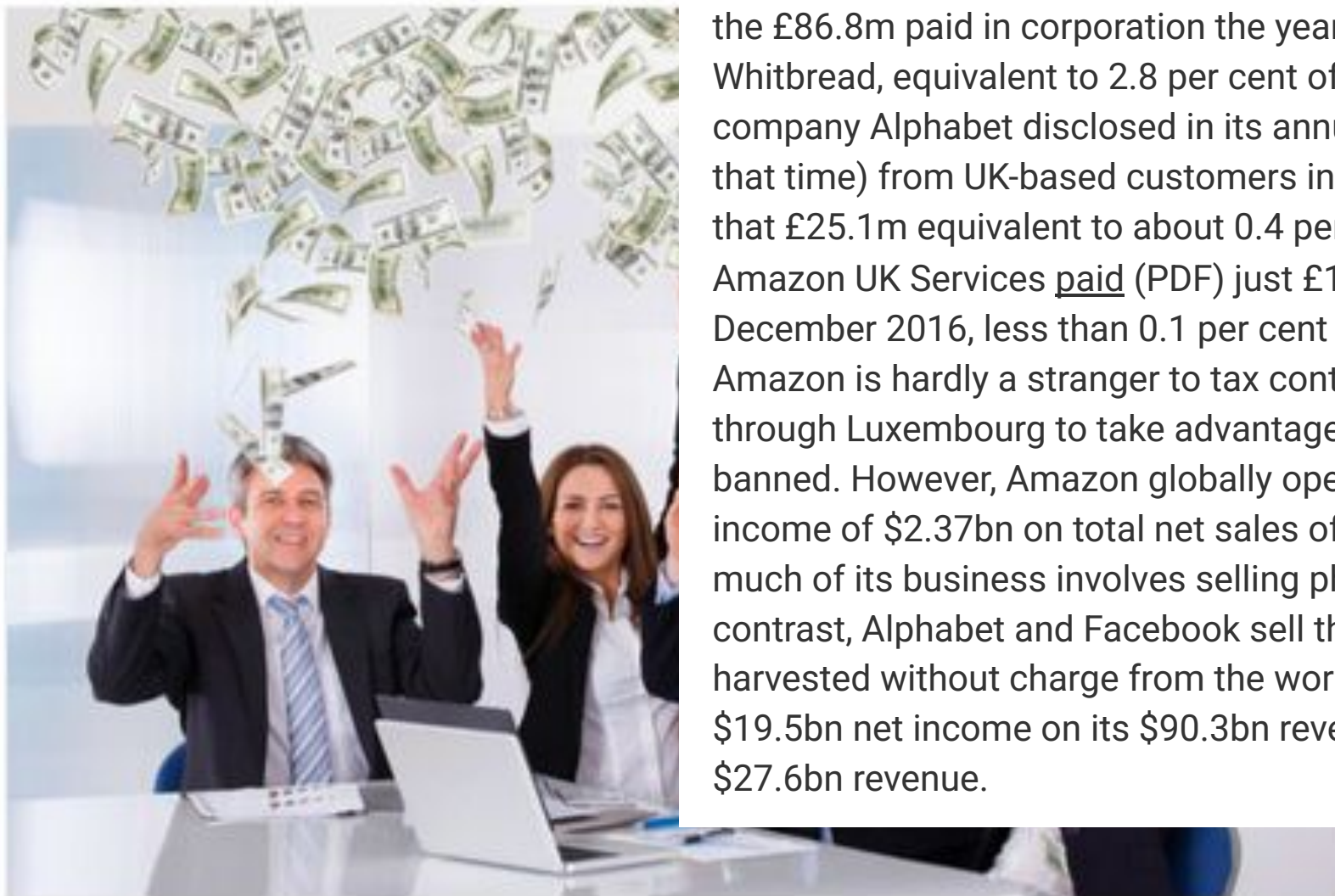
	2016 £	2015 £
Profit/(loss) on ordinary activities before tax	<u>58,415,172</u>	<u>(52,491,963)</u>
Profit/(loss) on ordinary activities multiplied by standard rate of corporation tax in the UK of 20% (2015: 20.25%)	11,683,034	(10,627,825)
Effects of:		
Expenses not deductible for tax purposes	12,654,465	41,032,591
Additional expenses deductible for tax purposes	(21,891,823)	(16,027,848)
Movement in unrecognised deferred tax	-	(24,682,649)
Effects of changes in tax rates	131,406	(1,016,332)
Total tax charge/(credit) for the year	<u>2,577,082</u>	<u>(11,322,063)</u>

Actual tax paid

Squeezing more out of slippery big tech may even take tax reforms

Figures are growing but still puny compared to profits

By [SA Mathieson](#) 22 Jan 2018 at 09:02



How do the other tech giants compare? Google UK's most recent accounts, for the year ending 30 June 2016, show it paying £25.1m in corporation tax, equivalent to 2.4 per cent of its £1.04bn turnover (PDF). On the face of it, this is a similar proportion to the £86.8m paid in corporation the year to 2 March 2017 by UK hotel and coffee group Whitbread, equivalent to 2.8 per cent of its £3.1bn turnover. However, Google's parent company Alphabet disclosed in its annual report that it made \$7.787bn (£6.32bn at that time) from UK-based customers in the year ending 31 December 2016, making that £25.1m equivalent to about 0.4 per cent of actual UK revenue.

Amazon UK Services paid (PDF) just £1.34m corporation tax in the year ending 31 December 2016, less than 0.1 per cent of the British subsidiary's turnover of £1.462bn. Amazon is hardly a stranger to tax controversy, having run its European e-book sales through Luxembourg to take advantage of that country's low VAT rate, until this was banned. However, Amazon globally operates on thin profit margins, with a 2016 net income of \$2.37bn on total net sales of \$136bn, partly by choice and partly because much of its business involves selling physical things which it has to buy first. By contrast, Alphabet and Facebook sell their own digital services, largely relying on data harvested without charge from the world's population. In 2016 Alphabet globally made \$19.5bn net income on its \$90.3bn revenue, while Facebook made \$10.2bn on \$27.6bn revenue.

Amazon pays £290m in UK tax as sales surge to £14bn

Amazon

Amazon reports UK sales rose by 51% in 2020

**Lockdown
much tax it**

● **Jeff Bezo**



Paul Monaghan, chief executive of **Fair Tax Mark**, said it was very unlikely that the 50% jump in Amazon's UK sales would lead to any sizeable increase in UK tax paid because "a good proportion of [Amazon's UK sales] will be booked in Luxembourg, where they engineered a near €1bn (£880m) loss last year".

He said the result of this financial engineering would lead to Amazon "racking up hundreds of millions of tax credits that will be used in the future to offset future profits that might have otherwise generated tax contributions".

Last year, it emerged that Amazon received €294m in tax credits across Europe in 2019.

Starbucks pays just £5m UK corporation tax on £95m gross profit

This article is more than 4 years old

‘Administrative expenses’ of £78m, including royalties, utilities and maintenance, helped bring taxable profits down to £13m

Starbucks Coffee Company (UK) made a £95.1m “gross profit” for the year, but after swallowing “administrative expenses” of £78m, its pre-tax profits were reduced to £13.3m, on which it paid £5.4m tax. **A year earlier the company received tax credits of £4.4m** after recording a pre-tax loss of £40.9m.

Starbucks said administrative costs included occupancy costs such as business rates, service fees, maintenance and utilities for stores and central costs required to run the UK business, including IT, marketing, and head office costs.

Paul Monaghan, the chief executive of the **Fair Tax Foundation**, said: “Starbucks’ main UK subsidiary maintained its tradition of paying little corporation tax in the UK, and **this was once again down to the payment of hefty royalty and licensing fees to entities further up the corporate group.**”

Palantir paid just £2m corporation tax in UK in 2024 despite lucrative public sector contracts

Software group benefits from global systems and accounting practices ‘that enable tax to be shirked’, says union boss

One reason, according to the researchers, is that Palantir is accounting for its UK revenues in the US, a practice sometimes referred to as transfer pricing. “A major pattern emerges of Palantir shifting revenues and profits from contracts in Europe to the US parent company to take advantage of the massive tax shelter it has created there,” they said.

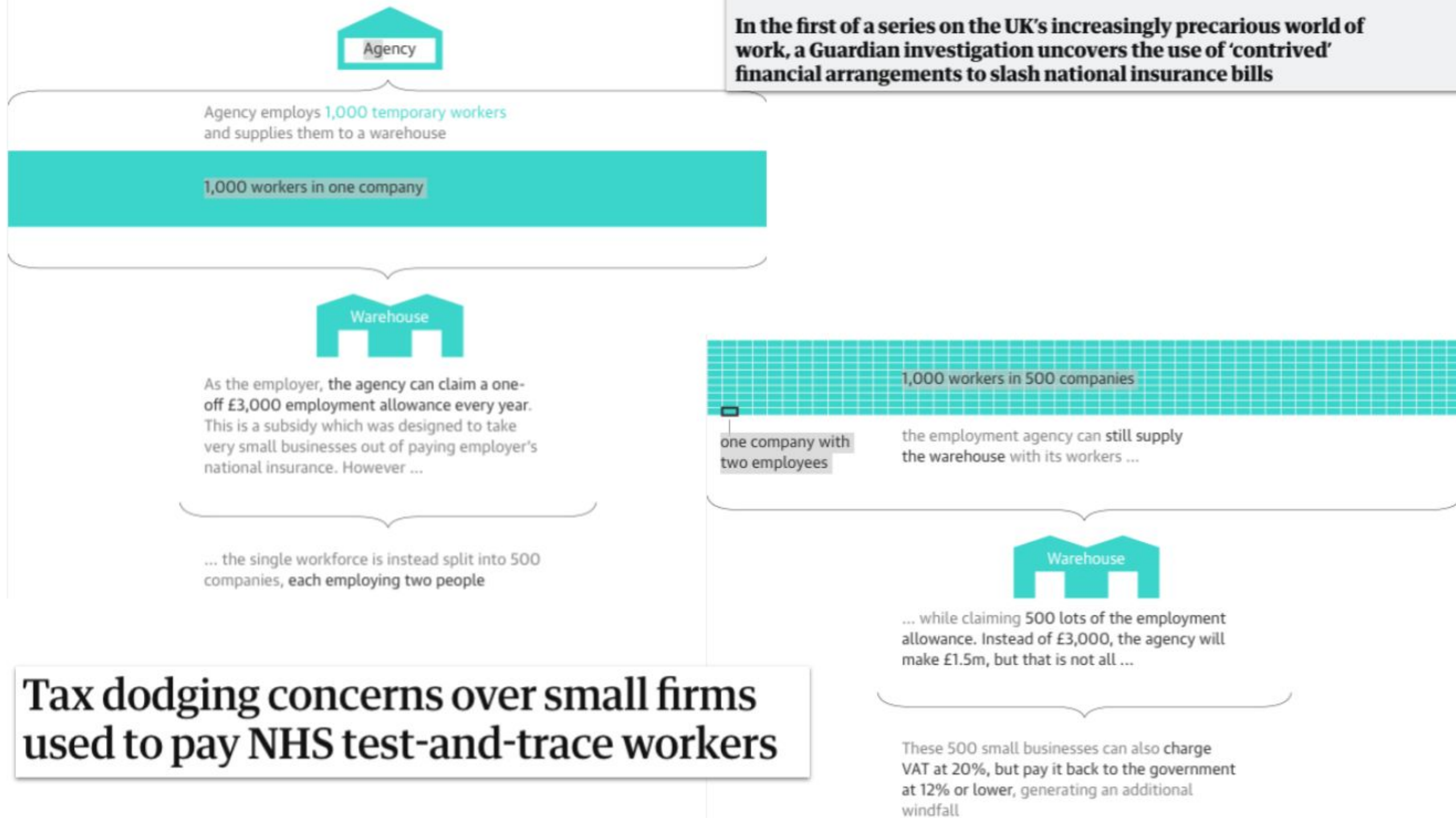
While 26% of all Palantir revenue is sourced from customers outside the US, only 4% of revenue is booked abroad. The reason for this is not clear, but researchers said they believed contracts with customers were signed with Palantir’s US companies, which in turn paid a service fee to local country subsidiaries to deliver the work.

For example, Palantir disclosed £159m of revenues in its UK company filings for 2024, but **disclosed £247m of UK revenues in its stock market filings.**

How temporary recruitment agencies use an aggressive tax avoidance scheme which deprives taxpayers of 'hundreds of millions' of pounds each year

Revealed: temp agencies' tax avoidance scheme costs 'hundreds of millions'

In the first of a series on the UK's increasingly precarious world of work, a Guardian investigation uncovers the use of 'contrived' financial arrangements to slash national insurance bills



Tax dodging concerns over small firms used to pay NHS test-and-trace workers

Guardian graphic

Crunched: the numbers behind big tech's tax avoidance



Debt and debtors

Who owes what to whom?



News Front Page

World

UK

England

Northern Ireland

Scotland

Wales

Business

Market Data

Your Money

Economy

Companies

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Health

Education

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Technology

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Bleak Christmas for hamper firm

As thousands of families face a bleak Christmas after a UK hamper company suddenly ceased trading, a BBC News website reader sent her experiences to the Your Stories site.

Customers of Farepak, owned by European Home Retail (EHR), paid money monthly to the firm or its agents towards food hampers for the festive season.

BDO Stoy Hayward has now been appointed the Swindon firm.

It said Farepak was "unable to honour its obligations to make deliveries of any vouchers, hampers or its tens of thousands of customers.

'Real regret'



Farepak: "Give your family the best ever Christmas"

VIDEO AND AUDIO NEWS

One Christmas hamper customer's story

Watch

THE FAREPAK COLLAPSE

LATEST NEWS

- ▶ Hamper victims face 5p pay-outs
- ▶ Farepak victims miss festive cash
- ▶ Extra cash to stop Farepak repeat

Q&A: the Farepak collapse explained

The Farepak debacle has left thousands of customers stranded this Christmas. Sandra Haurant gives the low-down on a bleak consumer outlook

What is Farepak?

Farepak is, or rather was, a Christmas savings club. Customers chose Christmas hampers and vouchers months in advance, and then made regular payments towards the goods over the course of the year. It had around 150,000 customers, and agents across the country collected clients' funds. The firm has now gone into administration and insolvency practitioners have been called in.

So what happened?

There appears to have been a catalogue of disasters. The Department of Trade and Industry announced an inquiry on October 24 to find out more, but so far it seems one of the main problems was that the business operated on goodwill, trust and credit.

Customers paid money monthly between January and October for goods and vouchers, which would be delivered in time for Christmas. In turn, Farepak would pay for these purchases, issued by a separate company called Choice Gift

Debtors

Other companies/people who **owe *this company*** money

Xmas savings company Farepak collapsed because it lent its customers money to companies who **couldn't pay it back**.

Trade debtors = customers & clients. People who have ordered but not yet paid.

Other companies in the same group can also owe money - can be used to move money around for various reasons (reduce tax, make company look more secure/profitable).

Creditors

Other companies/people *owed money by* this company

Most companies collapse because they can't pay debts. The company is put into **administration** to pay those debts as a last resort.

Trade creditors = suppliers, bills etc. People who have sold you stuff but not yet been paid (e.g. “on credit”)

Other companies in the same group can also be owed money
- again sometimes to reduce tax, make company look more secure/profitable.

Case study: care homes

“Almost all the £63m profits made [in 2019/20] by the group of which HC-One is the largest part — headed in the UK by a company called FC Skyfall Holdco 3 Ltd - disappeared in interest costs, totalling £58m, on the hundreds of millions of pounds of debt with which the group has been financially engineered.

Group operating profit/(loss)	(12,152)	54,196
Profit on disposal of tangible fixed assets	2,923	5,124
Loss arising from fair value of interest rate swap hedges	(207)	(2,723)
Interest receivable and similar income	18	24
Interest payable and similar expenses	(58,153)	(59,424)
Loss before taxation	(67,571)	(2,803)

Case study: care homes

“Included in this debt is an £80m loan from the group’s Cayman Island parent company racking up “interest rates of 15 percent to 18 percent per annum”

Term loan

On 30 June 2017, a term loan of £286.8m was issued to FC Skyfall Bidco Limited, a subsidiary undertaking at interest rate of 5.8% plus LIBOR per annum. The loans are secured on fixed and floating charge of the FC Skyfall Intermediate Holdco 1 Limited group assets and unlimited guarantee from FC Skyfall Intermediate Holdco 1 Limited and its subsidiary undertakings and FC Skyfall TA Limited, a related undertaking. Loan repayment is amortised at a rate of £2.7m per quarter and the final loan repayment date is on 27 January 2022. Term loans are shown net of unamortised issue costs of £4.7m (2019: £8.0m).

On 13 July 2017 FC Skyfall Bidco Limited has entered two interest rate cap agreements with Citibank Europe Plc, UK branch and Deutsche Bank AG, London branch respectively each for a notional amount of £143.4m for the period from 30 June 2017 to 22 January 2022. Each agreement capped the LIBOR rate at 1.5% per annum for the period from 30 June 2017 to and including 27 January 2021 and thereafter at 1.75% per annum. On 13 November 2017 Deutsche Bank AG assigned the interest rate cap agreement by way of novation to Citibank Europe Plc, UK branch. Mark to market valuation on the interest rate cap agreement at 30 September 2020 was of £1,000 (2019: £71,000) in-the-money which was debited to “profit and loss” and credited within note 16 “Debtors”.

Case study: care homes

“Included in this debt is an £80m loan from the group’s Cayman Island parent company racking up “interest rates of 15 percent to 18 percent per annum”

Loan note due to group undertaking

As at 30 September 2020 loan note of £14,000,000 (2019: £14,000,000) was due to FC Skyfall TA Limited, a related group undertaking at interest rate of 6.5% per annum with repayment date on 27 June 2022.

As at 30 September 2020 loan note of £120,348,000 (2019: £103,701,000) including capitalised interest of £40,348,000 (2019: £23,701,000) was due to FC Skyfall Holdco 1 Limited. The loan repayment date is on 14 December 2021 and at fixed interest rates of 15% to 18% per annum.

Interest repayments

Who is it paid to? Check Related Party Note

Is it another company in the parent group? Based in tax haven? Luxembourg, Netherlands, Ireland, etc

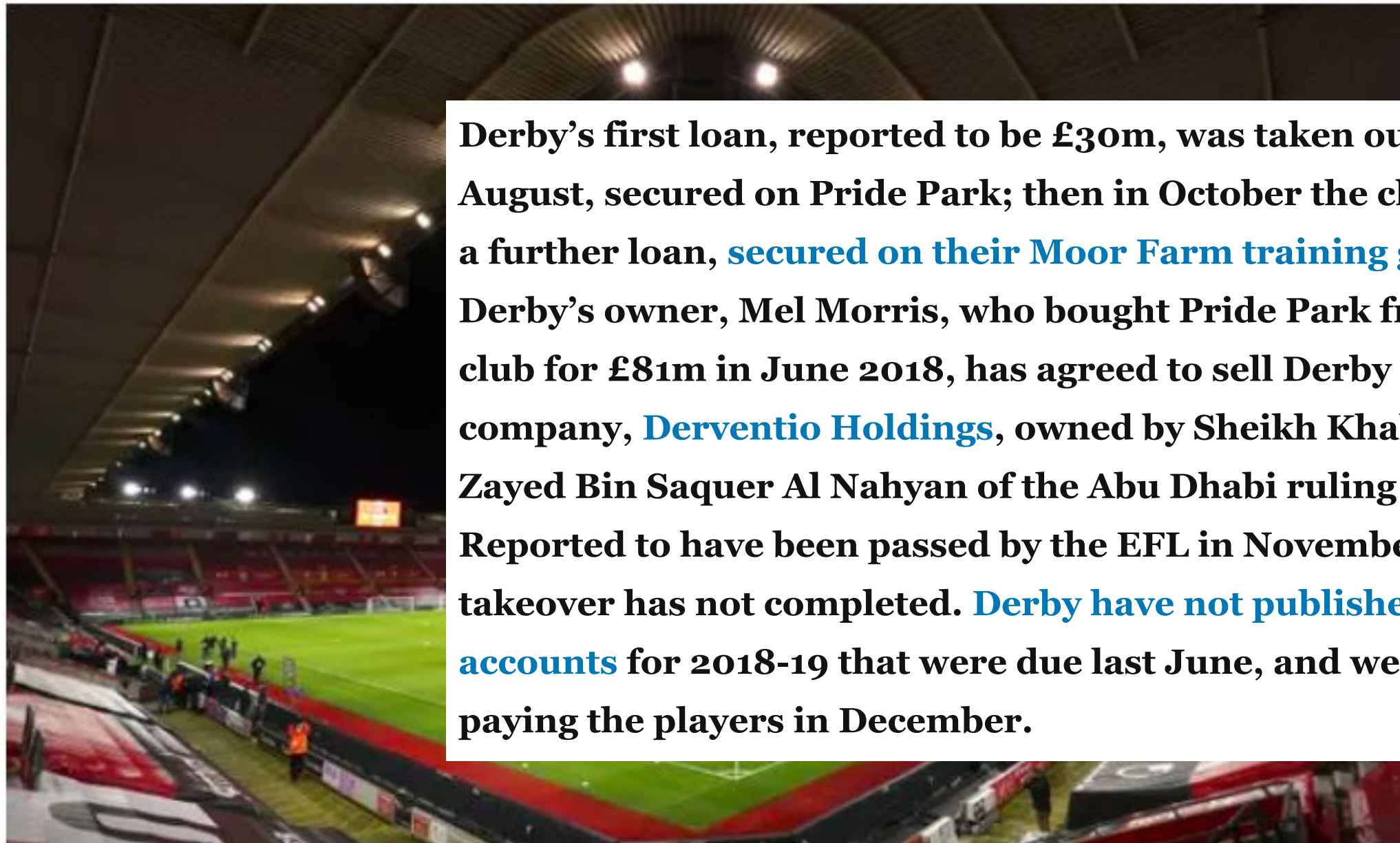
On what **terms**? Fixed/variable interest? Term?

Tax = estimate. See previous year cash flow for actual payment.

Dividends: If paid when there is a loss, or if it is a high proportion of profit = bad signs

Sign of the times: why English clubs are turning to high-interest US loans

Southampton and Derby are among clubs whose stadiums are mortgaged to MSD Capital in search for much-needed funds



Derby's first loan, reported to be £30m, was taken out on 6 August, secured on Pride Park; then in October the club took a further loan, **secured on their Moor Farm training ground**. Derby's owner, Mel Morris, who bought Pride Park from the club for £81m in June 2018, has agreed to sell Derby to a company, **Derventio Holdings**, owned by Sheikh Khaled Bin Zayed Bin Saquer Al Nahyan of the Abu Dhabi ruling family. Reported to have been passed by the EFL in November, the takeover has not completed. **Derby have not published their accounts** for 2018-19 that were due last June, and were late paying the players in December.

THE DERBY COUNTY FOOTBALL CLUB LIMITED

Company number **00049139**

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Overview

Filing history

People

Charges

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Details of Charge

Filter by category

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- ☐ Accounts
- ☐ Capital
- ☐ Charges

Date	Description
07 Dec 2020	Confirmation statement made on 14 Nov
27 Nov 2020	Change of details for Gellaw Newco 203 L June 2018
14 Oct 2020	Registration of charge 000491390035, cr
21 Aug 2020	Resolutions

Date of creation: **08/10/2020**

Charge code: **0004 9139 0035**

Persons entitled: **MSD UK HOLDINGS LIMITED (AS LENDER)**

Brief description: **LEASEHOLD LAND ON THE EAST SIDE OF MORLEY ROAD, CHADDEDSON HELD UNDER A LEASE DATED 14 JUNE 2002 BETWEEN (1) THE TRUSTEES OF THE LOCKO SETTLED ESTATES AND (2) THE DERBY COUNTY FOOTBALL CLUB LIMITED REGISTERED AT THE LAND REGISTRY WITH TITLE NO. DY351091 AND A LEASE DATED 21 NOVEMBER 2014, MADE BETWEEN (1) TRUSTEES OF THE LOCKO PARK 1991 SETTLEMENT AND (2) THE DERBY COUNTY FOOTBALL CLUB LIMITED REGISTERED AT THE LAND REGISTRY WITH TITLE NO. DY489060**

Contains fixed charge(s).

Contains floating charge(s) (floating charge covers all the property or undertaking of the company).

Contains negative pledge.

Guidance

Registering a charge (mortgage) for a company

How to register a new charge at Companies House, or tell us about any you've paid off.

Register a charge (MR01)

A 'charge' is the security a company gives for a loan. For example, a mortgage is a type of charge.

You can send us the details of a charge created by the company. We'll then register the charge on the company's public record.

KEO KO'D

LAST week saw the launch of a new "Freelancers' Charter", signed up to by many of the biggest brands in broadcasting and aimed at protecting jobbing TV workers from being bullied, harassed or excluded from opportunities because of cronyism, and protecting them as whistleblowers. But August also brought another example of the raw deal the self-employed can experience in TV.

Keo Films Ltd, the production company a quarter-owned by TV chef and sustainability campaigner Hugh Fearnley-Whittingstall (pictured), underwent a pre-pack administration which will allow it to continue to produce programmes under the same banner and under the guidance of two of the same company directors, while jettisoning any duty to pay more than £800,000 to broadcasters and freelancers, plus a further £1.7m to other unsecured creditors.



"The interests of the unsecured creditors have been carefully considered during the process," the administration documents filed with Companies House state, but "it will not be possible to obtain a price that provides a substantial return... This is simply due to market conditions."

The documents also show that Keo, set up in 1995, did not manage to record any profits between 2013 and 2020. Cumulative losses amount to more than £5m. But the company's directors – at the time it went into administration, Fearnley-Whittingstall, his former partner in his River Cottage businesses Andrew Palmer, William Anderson and the Hon. Alexander Baring – did manage to pay themselves more

than £4m during those unprofitable years. Keo did return a profit of £249,000 in 2020 – but this was largely made up of £186,000 in furlough money from the government.

In 2019 a subsidiary of which Keo owned at least 75 percent, Field Day Productions Ltd, was also put into liquidation. The *Eye* has seen messages from one freelancer claiming they were owed several hundred pounds for work they did for Field Day, which they were told could not be paid on the grounds that the company no longer existed, and that it was only after more than two years of chasing that Keo honoured the debt. Other freelancers have tales going back years of late payments from the company.

The small print of the administration documents reveal that Keo's directors first contacted administrators in October 2019 on the recommendation of their legal adviser, Peter Magyar of "boutique law firm" Magyar & Co. They did not, however, formally engage them for a further 20 months – at which point Magyar stepped aside as Keo's legal adviser on the grounds that he is a non-executive director of Passion Holdings, the TV company which ended up buying "certain business assets" of Keo, including the right to use its brand name, this July for £1.7m.

It will be operated under the Passion umbrella by a new company, Passion Docs Two Ltd – of which both Andrew Palmer and William Anderson have been appointed directors. Last week Anderson told furious freelancers the new company hopes to pay as much as possible of the amount Keo owed to freelancers. The firm's website, meanwhile, still boasts that it has a "strong ethical brand reputation and innovative approach".

KF REALISATIONS 2021 LIMITED

Company number 03138064

Follow this company

File for this company

Overview

Filing history

People

Charges

Insolvency

More

Hugh Christopher
Edmund FEARNLEY-
WHITTINGSTALL

Filter appointments

☐

Current appointments

Total number of appointments 12

Date of birth

January 1965

Date

Description

10 Sep 2021

Resolutions

- **Change of name** by resolution
- **Change company name resolution on 2021-08-19**

06 Sep 2021

Notice of deemed approval of proposals

14 Aug 2021

Statement of administrator's proposal

11 Aug 2021

Appointment of an administrator

Appendix A

Statutory information about the Company and the administration

The appointment of the administrators included a declaration that they act jointly and severally as administrators of the Companies in accordance with Paragraph 100 of Schedule B1 to the Act.

The directors have confirmed the Companies' centre of main interest has been in the UK and accordingly the proceedings will be COMI proceedings as defined in the Rules.

Extracts from the financial statements and Management information of KFL is summarised below.

Period ended £'000	Turnover	Gross profit	Net profit/ (loss)	Directors' remuneration	Net increase/ (decrease) in cash and cash equivalents
31.03.2020	7,108	1,661	(1,292)	576	Not available
31.03.2019	10,132	3,024	(61)	578	(177)
31.03.2018	11,357	3,594	(599)	594	(318)
31.03.2017	18,723	4,845	(58)	616	(902)
31.03.2016	13,645	3,136	(1,861)	565	274
31.03.2015	10,105	3,736	(1,982)	575	(1,793)
31.03.2014	10,872	3,734	(509)	571	426
31.03.2013	9,839	3,862	167	615	(68)

Mainly making losses

...but directors being paid £4m over 8 years

Assets and liabilities

Can they easily pay what they owe?

Balance sheet jargon!

- Fixed assets (things that are harder to sell)
- Current assets (things we can sell quick)
- Current liabilities (what is owed by us)
- Creditors (what is owed to us)
- Capital and reserves (what money we can call on)

Small company's 'abridged' accounts

ABRIDGED BALANCE SHEET 30TH APRIL 2019

	Notes	2019 £	£	2018 £	£
FIXED ASSETS					
Tangible assets	4		3,516		6,200
CURRENT ASSETS					
Debtors		49,808		60,960	
Cash at bank and in hand		<u>1,372</u>		<u>930</u>	
		51,180		61,890	
CREDITORS					
Amounts falling due within one year		<u>98,844</u>		<u>102,874</u>	
NET CURRENT LIABILITIES			<u>(47,664)</u>		<u>(40,984)</u>
TOTAL ASSETS LESS CURRENT LIABILITIES			<u>(44,148)</u>		<u>(34,784)</u>
CAPITAL AND RESERVES					
Called up share capital	5		3		3
Retained earnings			<u>(44,151)</u>		<u>(34,787)</u>
SHAREHOLDERS' FUNDS			<u>(44,148)</u>		<u>(34,784)</u>



Label	Amount	What's happening
Fixed assets	4k	We can sell this if we need to
Debtors	50k	We are owed this money
Cash in bank	1k	We can access this money quickly
CREDITORS: Amounts falling due within 1 year	99k	We owe this money to others (some which needs paying back sooner)
NET CURRENT LIABILITIES	(48k)	What we owe minus what we can quickly raise to pay it
TOTAL ASSETS LESS CURRENT LIABILITIES	(44k)	...minus our assets if we sold those
Called up share capital	£3	How much we owe people who have bought shares
<u>Retained earnings</u>	(44k)	Amount the business has earned (may be negative)
Shareholders' funds/ <u>equity</u>	(44k)	Amount left over for the shareholders (may be negative)

More balance sheet jargon!

- **Total accumulated profit/loss AKA retained earnings**, earned surplus, retained capital = £ made/lost since the company was founded, minus dividends ([more here](#))
- **Total equity** = value left in the company (negative equity means it's in the red)

“To find out how much somebody is really worth you need to know what they **owe**, not what they **own**.”

Raj Bairoliya

Assets, liabilities

Assets (what you **own**) vs liabilities (what you **owe**)

Net worth = assets minus liabilities

SNAPSHOT on last day of year - can be manipulated!
(‘Window dressing’ - Lehman, Anglo Irish: omit debt, overstate asset values...)

Fixed assets

Held for **long term** use, e.g. buildings, vehicles, factories

Intangible assets = invisible, e.g. brands, 'Goodwill'. Check these don't contribute too much to net worth

Tangible fixed assets/"Property, plant & equipment"

Investments

ASK: Are you planning to sell [asset]?

ASK: Have they made bad acquisitions? Are they making more acquisitions to try to make up for it?

Balance sheet

Summary of the Group's balance sheet

	2016 £m	2015 ⁽¹⁾ £m
Property, plant and equipment	144.1	140.5
Intangible assets	1,669.3	1,634.2
Investments	180.3	165.2
	1,993.7	1,939.9
Inventories, receivables and payables	(347.3)	(379.2)
Net retirement benefit liability (net of taxation)	(663.2)	(317.6)
Other		
Net operating assets		
Net borrowing		
Net assets		

(1) Restated for the retros
in 2015.

Valuation of goodwill

At 31 December 2016, the Group had £1,571.0 million (2015: £1,544.3 million ⁽¹⁾) of goodwill, being the largest single item included in its balance sheet. Note 11 on page 110 of the financial statements describes the estimation techniques used by management to assess whether there has been an impairment to the carrying value of goodwill and other intangible assets. The Committee considered and critically reviewed the assumptions used in management's impairment calculations and considered the views of the external auditor on this issue. This included a review of the sensitivity analysis undertaken by management and the external auditor. On the basis of this review, the Committee agreed with management that no impairment to goodwill was necessary.

which Britain now relies. As noted by Adam Leaver, professor of accounting at Sheffield University, Carillion repeatedly pulled forward hundreds of millions on profits expected from future work, and paid that cash out to shareholders. Since the huge profits it was booking did not exist, it had to borrow the cash it paid out to shareholders - and the debt was secured against goodwill: its brand name, relations with customers and staff. However hard such things are to value, Carillion reckoned that they were worth a tidy £1.57bn. As MPs discovered to their amazement in January, “goodwill” was Carillion’s single biggest asset.



4 Tangible assets

Each note number on the balance sheet relates to further pages that provide those notes - like this one for note 4

	Short leasehold land and buildings £	Plant and machinery £	Total £
Cost or valuation			
At 1 July 2018	66,003	4,782	70,785
Additions	16,395	1,120	17,515
At 30 June 2019	82,398	5,902	88,300
Depreciation			
At 1 July 2018	19,857	2,868	22,725
Charge for the year	7,579	956	8,535
At 30 June 2019	27,436	3,824	31,260
Carrying amount			
At 30 June 2019	54,962	2,078	57,040
At 30 June 2018	46,146	1,914	48,060

Current assets

Stock/inventory - could be obsolete, worthless, take too long to sell

Cost of sales / value of stock = **turnover rate**
(e.g. if value of stock = £100 and sales cost £1000 then stock sold 10 times over this year)

ASK: Will you have to write off stock or sell below cost?

ASK: Why has your stock turnover slowed since last year?

ASK: Have net assets been decreasing over time?

Capital and reserve (Cash)

Be suspicious if there are large amounts of cash being held.

Sometimes inflated by not paying creditors near year end

ASK: Why are you not investing your cash?

ASK: Creditors: Have you experienced delays in getting paid?

ASK: Where's the cash come from? (Other parts of the company? Loans?)

Liabilities

Current liabilities are those due within 12 months from the end of the year

Should be **less than current assets** (inc. cash) - otherwise they can't pay!

Long term liabilities may include long term loans - but if certain conditions are breached (covenants) these can become payable immediately.

ASK: How will the liabilities be met

ASK: What if interest rates go up by X%? When are loans due?

Creditors - trade creditors

Suppliers who have provided goods on credit.

If none, may be because they no longer trust company to pay

Company may earn interest if they take **cash** from customers but pay suppliers on **credit** (e.g. a month later). Supermarkets do this for example.

ASK: Why are your suppliers not giving credit?

Creditors - other

Loans (short term? Long term? Rate?)

Money owed to related companies (debt is one way to avoid paying tax in UK while extracting money to other territories)

Tax liabilities

Check Related Party Transactions for details

ASK: Are the debt payments to your sister company in the British Virgin Islands purely to avoid UK tax? Why so high interest?

CURRENT ASSETS

Stocks	14	440	602
Debtors	15	5,280	6,580
Cash at bank and in hand		645	503

		6,365	7,685
CREDITORS: amounts falling due within one year	16	(45,471)	(40,748)

NET CURRENT LIABILITIES**NON CURRENT ASSETS**

Debtors falling due after more than one year		550	1,100
--	--	-----	-------

TOTAL ASSETS LESS CURRENT LIABILITIES

£160m owed to owner. But if owner wants it now...

CREDITORS: amounts falling due after more than one year

Other creditors	17	(160,580)	(137,329)
Convertible debt	18	(2,907)	(2,907)

...See note 17 for breakdown

PROVISIONS FOR LIABILITIES

	19	(2,696)	-
--	----	---------	---

Reserves

TRENDING ↗

FUNDRAISING CHIEF STEPS DOWN

EX-BBC PRESENTER IN TRUSTEE ROW

Best-known charities hold an average four months of reserves

13 April 2018 by [Liam Kay](#)

Examination by Third Sector of the accounts of 157 top charities finds the mean reserve level is £23.3m

‘For a rainy day’ funds.

- No rules about how much is appropriate - use others in sector as a guide
- Relative to expenditure, e.g. “enough to cover costs for 4 months”

Notes to the accounts

Key parts:

- Revenue recognition
- Going concern
- Contingent liabilities
- Events after the reporting period

Key points

- Look for stories around **remuneration** & change, comparison and context
- Does **tax** go up when turnover does? Or is it avoided through ‘expenses’ and interest?
- Stories about **concerns**: does the company have the right assets to meet its liabilities?

Further reading

- The Investigative Journalist's Guide to Company Accounts (Raj Bairoliya)

CAPITAL AND RESERVES

Called up share capital	20	18,702	18,702
Share premium account	21	344	344
Capital redemption reserve	21	308	308
Profit and loss account	21	<u>(123,512)</u>	<u>780</u>

Called up share capital: shares sold raised £18,702,000 at face value

Share premium account: shares sold raised £344,000 *above* face value